Review Case Of Unit 1

Case: Xibei (西贝莜面村) — A Trust Premium Under Pressure

Xibei Youmian Village (西贝莜面村) is a Chinese casual-dining chain serving northwestern food built around oat noodles (莜面). What it actually sells is **trust**: the brand promise is 食材安全、亲子友好 — safe ingredients and child-friendly service — and customers have accepted a **trust premium** on that basis. In 2025 that promise was tested in public.

Founded — 1988, by Jia Guolong (贾国龙) in Inner Mongolia
Scale — ≈370 direct-operated stores, ≈18,000 employees, revenue ≈¥6.2 billion (2023)
Price — about 40% more per head than comparable family restaurants such as 外婆家 and 绿茶 (≈¥110 vs ≈¥75)
Legal form — a **private limited-liability company** (有限责任公司); unlisted, no stock-market shareholders, controlled by its founder
Vision (long-term goal) — “to be China’s most trusted family restaurant”
Mission (what it does every day) — safe ingredients, child-friendly service, and dishes finished fresh in the store, at a premium price
Production — a **central kitchen** model: ingredients are cut, marinated and partly cooked at large central kitchens, cold-chain delivered, then finished in store (heated, assembled, seasoned, plated). Kitchens are open to view (明厨亮灶), but customers see only the final step. The model is legal, standard in the industry, and lowers cost per dish while keeping taste consistent and food safety controllable.
Cost base — central kitchens, a fixed menu and volume purchasing hold food and labour cost per dish below a scratch kitchen’s, while the premium price sits on top
Control — one founder, one family: decisions were historically made inside the company, not with outside owners or the public

2025-09-10 Luo Yonghao (罗永浩) posts that Xibei’s dishes are “almost all pre-made” while prices are high, and calls for a law requiring restaurants to disclose it.
2025-09-11 Xibei denies the claim, cites the official six-department 2024 definition (a chain’s own central-kitchen preparation is **not** 预制菜), and announces a defamation lawsuit.
Within days revenue falls ≈¥1 million **per day**; frontline staff report being insulted by customers; the company pays a ¥500 subsidy to store staff and calls an all-staff meeting (“the battle of 18,000 employees vs Luo Yonghao”).
2025-09-14/15 Jia admits “my way of responding was wrong”, apologises, pledges “a completely transparent Xibei” and “to learn thoroughly from Pangdonglai”, and switches nine dishes to fully in-store cooking.
2025-11 the dispute reignites; business is down 40–60% over four months; more than ¥300 million in coupons are issued to win customers back.
2026-01-15 Xibei confirms **102 store closures — about 30% of all locations — affecting roughly 4,000 employees**; January revenue is down ≈50% year-on-year.
Both sides — Jia: the damage came from a fight over a definition, and the company acted legally. Luo: “No company fails just because it was criticized.” The dispute is contested; no court has ruled.

Key dates: 1988 founded · 2024 official 预制菜 definition · 2025-09 public dispute · 2025-11 relapsed · 2026-01 store closures

SECTION C — CASE ANALYSIS

Instructions: Answer **both** questions using the case information above and the concepts you have learned in this course. For each answer: **name the concept, define it briefly, then apply it to Xibei** with specific evidence from the case. The key terms printed under each question are the terms you should use. The case does not illustrate every concept we have studied — answer only what the questions ask.

C1. Xibei charges about 40% more per head than comparable family restaurants such as 外婆家 and 绿茶.

Key terms: value creation · value capture · value vs. price · profit = revenue − total cost · differentiation (higher quality, unique features, better customer service, lower price, more effective marketing)

- **(a)** Using **value creation** and **value capture**, explain how Xibei can charge that price and still make a profit.
- **(b)** Using one or two of the five routes to differentiation, explain how Xibei achieves competitive advantage in this market.

C2. Xibei's brand promise reads: "safe ingredients, child-friendly" and it describes itself as a premium family restaurant. In 2025 it denied that most of its dishes were pre-made, then apologised and pledged "a completely transparent Xibei". In January 2026 it confirmed the closure of 102 stores — about 30% of all locations — affecting roughly 4,000 employees.

Key terms: vision vs. mission · core values · business vs. social enterprise vs. nonprofit · ethical dilemma · internal vs. external stakeholder · greatest total benefit / least total harm · corporation: control, liability, funding

- **(a)** Distinguish Xibei's **vision** from its **mission**, and decide whether Xibei is a **business**, a **social enterprise**, or a **nonprofit organization**. Justify your answer with the decision tree.
- **(b)** Treat the January 2026 store closures as an **ethical dilemma**: name the internal and the external stakeholders affected, evaluate the benefits and the costs of two possible responses at the time, and recommend a course of action with reasoning.
- **(c)** Explain what Xibei **gained and what it gave up** by organizing as a **corporation**, and how its response to the 2025 crisis changed **control** without changing the **legal form**.